

This is where many people become confused and frustrated with the complexity of investing and get stuck with paralysis by analysis. It's wise to research different portfolios before getting started, but it's important to recognize that these strategies are more similar than they are different. Focus on getting the big things right. Low-cost, tax-efficient index funds should give you the best chance of success as an investor. It's impossible to know in advance what the optimal asset allocation will be going forward. It's far more important to choose a portfolio that you understand and will stick with than to try to chase after the elusive "optimal" portfolio.

Earlier, we discussed buying low and selling high, but it's impossible to time markets with any consistency. One advantage of owning multiple asset classes is that it gives the option to rebalance periodically. The idea is to set a target allocation, say 80 percent stocks and 20 percent bonds. Then if one asset outperforms the other, you sell the asset that performed better to buy more of the asset that performed worse, bringing you back to your target allocation.

Rebalancing on a set schedule—say, once each year—forces the discipline of selling assets that are relatively high and using that money to buy assets that are relatively low. It provides a mechanical